

their revenues and profits abroad.³ Meanwhile, companies around the world do a great deal of business in the United States, so any analysis of an American company is incomplete without considering its international suppliers, competitors, and customers. In short, American investors must consider “foreign” companies to be part of their purview and the global economy an essential component of many “American” businesses.

The rapid growth in global trade and investment has also ushered in the globalization of financial markets. Markets outside the United States have become larger and more accessible, and many countries have adopted uniform IFRS global accounting standards and securities regulations akin to those of the United States. In addition, the emergence of global custodians, reduced settlement costs, and access to electronic trading have reduced the costs and hassles of cross-border investing. The growth of international markets has resulted in the U.S. share of global market capitalization falling from 70% in 1970 to 40% today. When you include international investments, the investment opportunity set for U.S. investors has almost doubled since the days of Graham and Dodd.

Were Graham and Dodd writing *Security Analysis* today, a discussion on international investing would surely figure prominently in their book. While the task of updating the original edition to include a section on international investing is daunting, it is nonetheless essential for the text to be made contemporary. Though this chapter has been written by U.S.-based global investors, the perspective it offers should be applicable to any international investor.

³ Emmanuel L. Bacani, “S&P 500 Companies’ Non-US Revenue Share Hits 10-Year Low—Goldman Sachs,” S&P Global Market Intelligence, June 18, 2020, <https://www.spglobal.com/marketintelligence/en/news-insights/latest-news-headlines/s-p-500-companies-non-us-revenue-share-hits-10-year-low-8211-goldman-sachs-59094991>.